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AFTER A PROLONGED hiatus from the limelight following the dramatic collapse of a merger with rival Flipkart and the subsequent unveiling of the '2.0 journey' in 2017, Snapdeal was back in the spotlight in 2021 with a surprising announcement. It said it would go public. But things didn't pan out that way, and it shelved that plan just a year later.

Of course, market conditions

were primarily to blame for the IPO's withdrawal. But this loss of heart mirrored the company's 16-year journey in some ways—a tale of grand plans gone awry and a gnawing sense of untapped potential. In the world of Snapdeal, the only constant is surprise.

When Snapdeal walked away from the negotiation table with Flipkart, it needed to devise industry-beating operational efficiencies, cut down on cash burn, and build a steady funding pipeline to even attempt a turnaround.

"It was an audacious move. To say that e-commerce in India is a high-intensity and high-cash-burn endeavour would be an understatement. I recall during that period, I woke up one morning to a well wisher's message that a VC told him, 'Snapdeal will not see a day of 2018 and will definitely shut down before the end of 2017,'" Co-founder Kunal Bahl wrote in a LinkedIn post in 2018.

But Bahl and his school friend Rohit Bansal did chart a turnaround. It would completely change course. It would look at value commerce. It would focus on the non-English-speaking, non-digital native, non-affluent majority of India's population in Tier II cities and beyond.

Looking back, it's apparent that this value commerce focus might indeed represent the company's ultimate pivot in the unforgiving e-commerce world, where there's little room for many marketplaces. It has to contend with the two giants—Flipkart and Amazon—and a new rival in Meesho.

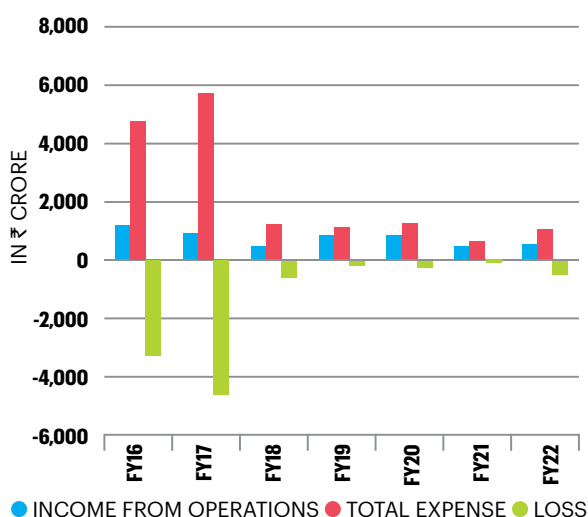
"It's a company that has come back from being dead—not once, but thrice, at least. You've got to hand it to the founders. But if they don't make it this time, would they get another shot at horizontal e-commerce in today's market? I doubt it. This might just be their shot, maybe even the last one," says a veteran venture capital investor.

FINANCIAL HEALTH CHECK

► Over 90 per cent of products listed on the site are priced below ₹1,000

► Monthly burn rates have come down to about ₹1 crore, helping the firm get close to breaking even

AceVector's Consolidated Financials



Snapdeal's Standalone Financials

